

Document Title:	Source to Procure
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1.0 PURPOSE

It is the purpose of this manual to serve as reference to the existing Source to Procure Process. It also aims to align the operational procedure, guidelines and work instructions related to the process.

This manual provides guidelines and step-by-step procedures on the source-to-procure process of goods and services for Tiger Resort, Leisure, and Entertainment, Inc. (TRLEI) by which all employees involved in the procurement process must strictly adhere to.

This manual may be go through revisions in the future to align it to potential business requirements and controls.

2.0 SCOPE AND APPLICABILITY

2.1 All purchases of goods and/or services shall be coursed through SCD, except for the following items:

- 2.1.1 Charitable contributions
- 2.1.2 Dues and general subscriptions (including professional associations, magazines, publications and newspapers, trade journals, e-books, membership dues for professional org.)
- 2.1.3 Sponsorships
- 2.1.4 Executive accounts such as sports membership
- 2.1.5 Fee for exhibition, seminar, and professional training or development courses
- 2.1.6 Legal, audit, entertainment, and accounting services
- 2.1.7 Freelance consultants/individuals
- 2.1.8 Payment to government or regulatory agencies (e.g. taxes, rates or business registration fee)
- 2.1.9 Petty cash purchases
- 2.1.10 Utilities (Regulated)
- 2.1.11 Regular telecommunication expenses (e.g. IDD , local or mobile phones, facsimile, ISDN line subscrip-Option, broadband and so on)
- 2.1.12 Employee travel advances/expenses
- 2.1.13 Travel agent commissions/refunds
- 2.1.14 Banking services

- 2.1.15 Recruitment of entertainment and or Talent Acquisition
- 2.1.16 Postage
- 2.1.17 All media buy, inclusive of digital, prints and audio
- 2.1.18 Gifts for VIP Players
- 2.1.19 Online Purchase of Software (where no on-prem. supplier exists)
- 2.1.20 Online travel booking and or Any travel related expenses agents

2.2 The Business Unit & Accounts Payable Team shall directly handle payment requests. All direct payments shall course through Corporate Accounting, Please refer payment process flow. SCD to send email confirmation to BU.

2.2.1 An Electronic Request for Payment (eRFP), Online / Credit Card Payment, Cash Advances and Reimbursements submitted to Accounts Payable team is used for services/goods that do not go through Supply Chain process.

2.2.2 Contracts that passed through SCD, but the mode of payment is through e-RFP raised by the Business Unit.

3.0 DEFINITION OF TERMS

3.1 Sourcing Request Form (SRF) is a document raised by the Business Units that initiates Procurement to execute the sourcing process of sourceable goods and services.

3.2 Request for Quotation (RFQ) is an invitation to suppliers to bid for a defined product or service, through simple quotations and/or cost proposals

3.3 Request for Proposal (RFP) is an invitation to suppliers to bid for a complex and/or planned purchase of product or service, thru comparable solutions and/or detailed proposals.

3.4 Electronic Bidding (E-bid) is an invitation sent by the company electronically to suppliers to submit for price/s for the supply of goods and/or services with consideration for a forecasted quantity consumption of the defined bid validity that is required.

3.5 Stock Request (SR) refers to a document raised in the procurement system to initiate a stock request from a warehouse inventory location that shall be issued to the business unit.

3.6 CVMB (CV) refers to a document raised in the procurement system to initiate a purchase release from a Blanket Purchase Order. The document is similar to a PO where awarded accredited supplier are required to deliver goods and/or services.

3.7 Purchase Request (PR) refers to a document raised in the procurement system to initiate the procurement of goods/services which gets converted into a purchase order (PO). It contains the descriptions, specifications and quantity of the goods/services, required delivery date, and cost center. A purchase request is not a purchase order and therefore should never be used to purchase services or be used as an authorization to pay an invoice from a supplier or service provider.

3.8 Purchase Order (PO) is a system generated document/contract issued by the company to its selected/awarded and accredited supplier for the supply of required goods/services indicating the full breakdown of the purchase to be made and all other commercial terms and specifications / scope of work.

3.9 Blanket Purchase Order (BPO) is a purchase order which the company places with its supplier to allow multiple delivery dates over a period of time, often negotiated to take advantage of predetermined pricing. It is normally used when there is a recurring need for expendable goods and services.

3.10 Contract is a formal written agreement between the company and the vendor for the delivery and/or supply of goods and/or services in conformity with an approved bid tabulation and indicating all the terms and conditions that bind the parties for the purchase to be made. All contracts should pass through for review and approval of Legal, Risk, Tax, SCD and Business Unit, and finally signed by Okada designated signatory.

3.11 Business Unit (BU) refers to the party within the company who has a need for the goods and/or

services being requested to be purchased.

- 3.12 Letter of Award (LOA)** is a letter that indicates an initial willingness to enter into a contractual obligation including the elements of a legally enforceable contract. The objective is to create a morally binding but not legally binding assurance. Issued as an optional discretion of Procurement.
- 3.13 Confidentiality and Non-Disclosure Agreement (CNDA)** lays out the company and supplier's responsibilities to protect each other's proprietary, confidential, and sensitive data in any form (paper or verbal). *Refer to most updated CNDA form from Legal Department.*
- 3.14 Accredited Supplier** is a supplier that has been appropriately assessed and approved to be classified as an "accredited" supplier of the company and has undergone Supplier Accreditation Process.
- 3.15 Bid Tabulation** is used by Procurement to comprehensively compare bid/s from supplier/s and recommend the best option to the Business Unit.

4.0 RESPONSIBILITY:

4.1 Requestor / Business Units (BU)

- 4.1.1 Responsible in raising a valid SRF which specifies the requirements in terms of, but not limited to:
 - 4.1.1.1 Scope of Work/Technical Specifications/Terms of Reference/Bill of Quantities. It must be aligned with the appropriate Divisions (e.g. I.T. Branding, Promotions, Stewarding – *refer to the Corporate Planning guidelines*) to ensure that the above is endorsed to SCD.
 - 4.1.1.2 Periodic Schedule of Requirement/Key Dates/Milestones, Contract Duration, calendar of activities and/or promotions
 - 4.1.1.3 Service Level Agreement
 - 4.1.1.4 Approved Budget and/or Current Spend
 - 4.1.1.5 Volume Forecast
- 4.1.2 For those transactions that would require technical/ functional/ procurement evaluation, BU to agree on the criteria with SCD and provide actual technical/functional/vendor evaluation.
- 4.1.3 Reviews and Approves Bid Tabulations.
- 4.1.4 Raises DP and Execution Ringi and follows through approvals, *if item is not part of the list of consumables and operating supplies.*
- 4.1.5 Submits approved PR (supported within approved Budget)
- 4.1.6 Notifies Procurement on approval of Ringi, Bid Tabulation and PR.
- 4.1.7 Responsible for the supplier contract performance evaluation, which will be the basis of contract renewal.
- 4.1.8 Reviews the legally-stamped contract for approval of the President & co-signatory of the contract.

4.2 Procurement

- 4.2.1 Receives created SRF, closes with a budgetary quotation/proposal, and returns closed SRF to the BU for budgetary purposes.
- 4.2.2 Sources and procures products and/or services per requestor's requirements.
- 4.2.3 Conducts bidding and negotiations in accordance with the agreed requirements of the business units.
- 4.2.4 Reviews Contract drafted by Contract Management Team, negotiates terms with vendor and monitors until Contract is fully executed.
- 4.2.5 Issues the official award thru PO/BPO/Contract.

4.2.6 Works with the vendor to ensure on-time, in-full and correct documentation during delivery.

4.3 Supplier Relationship Management Team

4.3.1 Responsible for supplier accreditation processing and background checking to ensure that the company is engaging with reputable and capable suppliers. Ensures that suppliers endorsed by procurement are qualified; meaning, the suppliers have the financial and technical ability to provide the requirement being requested.

4.3.2 Responsible for recording, consolidating, and monitoring supplier performance evaluation

4.3.3 Responsible for keeping supplier accreditation data and proposal confidential in compliance to the Employee Code of Conduct and/or Data Privacy Act of 2012 (R.A. 10173).

4.3.4 Provides recommendation for potential accredited suppliers to bid.

4.3.5 Manages bidding activity in Procurement.Bids and issues *Letter of Award (LOA)* to the winning vendor/s and *Thank You letter* to the non-winning vendor/s.

4.3.6 Monitors lists of suppliers' exclusivity letter and its validity in the Sharepoint on a regular basis.

4.3.7 Organizes and manages suppliers' performance evaluation and working with vendors to issue and close vendor corrective/preventive actions.

4.4 Contract Management Team

4.4.1 Responsible for contract drafting and routing to Legal, BU, Risk, SCD, Tax, Vendor for legal stamping, contract execution and securing notarized copies.

4.4.2 Provide contract templates to Procurement. This contract template can be shared with the vendor for review to secure initial comments. If need be, liasse with legal to have a lawyer-to-lawyer discussion to accelerate resolution of issues.

4.4.3 Responsible for recording and tracking contract effectivity/expiry and compliance to insurances and bonds.

4.5 Procurement Systems

4.5.1 Creates/Updates/Deactivates Item Master and bid prices in Procurement System.

4.5.2 Responsible in answering queries related to procurement system.

4.5.3 Manages the e-bid process in Supplier.Bid.

4.5.4 Responsible in generating procurement reports in the Procurement System.

4.6 Logistics

4.6.1 Responsible for the coordination and shipping of indented items from origin to Okada Manila based on the agreed incoterm and mode of shipment.

4.6.2 Responsible to secure the regulatory permits related to the incoming shipment

4.6.3 Responsible for the computation of the Total Cost of Ownership (TCO) including, but not limited to, International Freight, Insurance.

4.6.4 Responsible for the Marine Insurance declaration to ensure that cargo is insured from point of origin to final destination (applicable warehouse-Tower A, TF7 and FCIE Dasmarinas, Cavite).

4.6.5 Manages the releasing and delivery of cargo to the respective Business Units.

5.0 PROCEDURE:

5.1 SOURCING REQUEST

5.1.1 Business Unit identifies requirement/s and checks if the requirement/s is/are existing in

the Procurement System Catalogue. For requirement/s existing in the Procurement System, refer to *PR and PO Management, SCD-PSP-PRT-GL-002* and raise PR. For requirement/s not in the Procurement System Catalogue, refer to *Raising & Submission of SRF (Sourcing Request Form), SCD-PSP-PRT-WI-001* and fill out a Sourcing Request Form (SRF)

- 5.1.2 Procurement Senior/Manager receives the SRF and validates the completion of the request, and ensures that requirement has been reviewed by relevant business unit prior to processing the SRF. Refer to - *Checking of SRF Completeness, SCD-PSP-PRT-WI-002*
- 5.1.3 Procurement Senior/Manager assigns the SRF to respective Buyer, refer to *Managing Sourcing Request Form (SRF), SCD-PSP-PRT-WI-003*. A Buyer maybe a Procurement Specialist, Procurement Officer, Procurement Assistant Manager or Procurement Manager.
- 5.1.4 Buyer processes the request depending on the nature and complexity of the requirement/s.
 - 5.1.4.1 For Tactical Purchases, the Buyer shall perform a simple tender thru Request for Quotation/Proposal (RFQ/RFP), refer to *Bidding and Negotiation Process, SCD-PSP-PRT-GL-001*.
 - 5.1.4.2 Upon receipt of quotations/proposals from the suppliers, Buyer may at least get the first quotation to update and close the SRF for budgetary purposes.
 - 5.1.4.3 The SRF shall be marked as closed and Business Unit shall be notified. Once BU receives the accomplished SRF, BU must provide feedback (7 days) if they shall proceed with the request or cancel the SRF.

5.2 DP RINGI

- 5.2.1 Once SRF is closed, the Business Unit shall use the information gathered to apply for a DP Ringi, if not Ringi exempt.
- 5.2.2 DP Ringi is a default requirement. Business Unit may check the "List of Consumables and Operating Supplies" if there is still a need for a DP Ringi.
- 5.2.3 Business Unit to request for DP ringi approval using the Ringi System.
- 5.2.4 Once the DP Ringi is approved, the Business Unit shall inform the Procurement representative with the ringi details which will trigger procurement to continue the sourcing and negotiation process.

5.3 BIDDING AND NEGOTIATION PROCESS

- 5.3.1 Buyer to proceed with the bidding and negotiations. *Refer to Bidding and Negotiation Process, SCD-PSP-PRT-GL-001*.
- 5.3.2 If the transaction would require a criteria (functional, technical, commercial), the criteria evaluation questionnaires rating has to be agreed upon by both procurement and business unit (including relevant parties reviewer if needed e.g. IT / Security / FM etc.). The results of the criteria evaluation will be used to finalize the bid tab.
- 5.3.3 Once all quotation/proposals and other supporting documents are complete, the Buyer shall initiate a competitive comparison in a form of a Bid Tabulation. The Buyer must recommend a winning bidder and route the bid tabulation for approval within Supply Chain and Business Unit. The recommended vendor must be accredited prior to conclusion of the bid tabulation. Refer to *Bid Evaluation and Shortlisting, SCD-PSP-PRT-WI-007* and *Supplier Accreditation, SCD-BPT-SRM-OP-001*
- 5.3.4 Bid tabulation follows an approval matrix/hierarchy depending on the final total cost reflected on the bid tabulation.

- 5.3.4.1 For bid tabulations under FF&E & Renovations, OS&E, and Services (non-food commodities), below bid tab approval matrix is followed:

FINAL COST	FINAL SCD APPROVAL	BU APPROVAL
Up to 100,000	<u>Assistant Manager</u> / ✓ Manager	Required before execution ringi application / contract execution
Over 100,000 - 1,000,000	Senior Manager	
Over 1,000,000	VP Supply Chain	

- 5.3.4.2 For bid tabulation under F&B, below bid tab approval matrix is followed:

FINAL COST	FINAL SCD APPROVAL	BU APPROVAL
Up to 100,000	Manager	- For regular bidtab: Automatic approval once approved by SCD. - For special projects: BU approval required on bidtab.
Over 100,000 - 1,000,000	Senior Manager	
Over 1,000,000	VP Supply Chain	

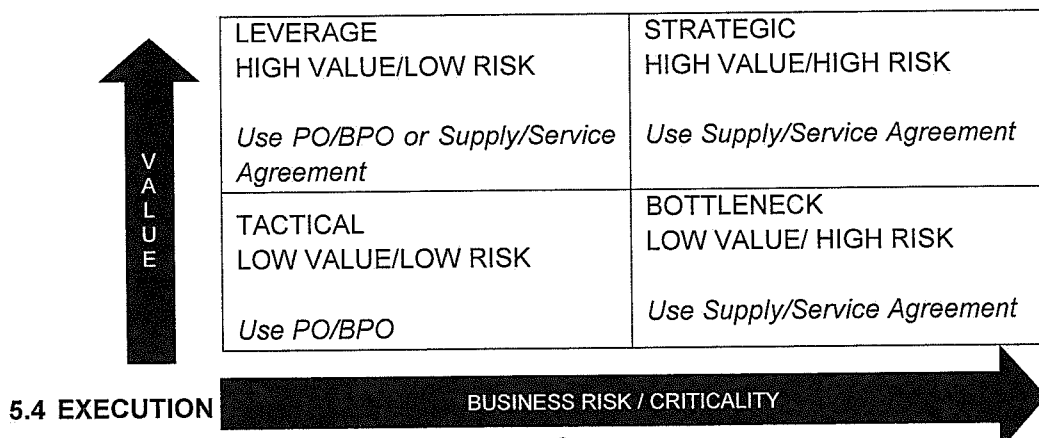
This is a special case for F&B since projects/requests are under food commodities and requires faster turn-around time from requesting to purchasing and delivery.

For *regular bid tabulation*, it is considered automatically approved by Business Unit (F&B) once it is approved by SCD. Report is given to F&B (Monthly Cost Savings Tracker as a summary) instead of individual bidtab endorsement.

For *special projects*, BU approval is required on bidtab before execution ringi application/contract execution (if applicable).

- 5.3.5 The Buyer shall identify which procurement strategy shall be applied to execute the transaction, it could be via Contract, Purchase Order or Blanket Purchase Order or BPO+Contract. Refer illustration below for a general guide in making the decision.

- 5.3.5.1 Tactical Goods and Services may use a Purchase Order or Blanket Purchase Order as an award instrument. The strategy is to simplify the process as much as possible so as to increase the time spent for strategic and bottleneck commodities.
- 5.3.5.2 Leverage Goods and Services may use a Consignment Agreement as a strategy aside from Purchase Order or Blanket Purchase Order
- 5.3.5.3 Bottleneck Goods and Services use Supply or Service Agreement especially for goods with seasonality, shorter life cycle, and or undergoing a sustainability program. This may increase business confidence on not having stock shortages or issues
- 5.3.5.4 Strategic Goods and Services use a Supply or Service Agreement to promote Strategic Supplier Partnerships. Strategic Goods and Services shall be treated carefully with high importance and priority.



5.4 EXECUTION RINGI

- 5.4.1 Once the Bid Tabulation is approved, the Business Unit shall raise Execution Ringi, if not Ringi exempt. For transactions that requires a contract, a legally stamped contract must be attached to the Execution Ringi. Contract Management Team triggers when to proceed with Execution Ringi application for transaction/s requiring contract.
- 5.4.2 Business Unit requests Execution Ringi approval using the Ringi System.
- 5.4.3 Once the Execution Ringi is approved, the Business Unit shall inform the Procurement representative with the ringi details which will trigger procurement to continue with the process.

5.5 ITEM MASTER

- 5.5.1 The Buyer requests Item Master and Bid Upload to Procurement Systems. *Refer to Item Master and Bid Upload, SCD-BPT-SYS-GL-002.*
- 5.5.2 Buyer accomplishes an Item Master Request Form (IMRF) to perform the request. *Refer to Accomplishing an IMRF, SCD-BPT-SYS-WI-002*
- 5.5.3 Procurement System Specialist checks the completeness of the request and perform the tasks. *Refer to Item Master Review and Processing, SCD-BPT-SYS-WI-003 and Bid Upload Processing, SCD-BPT-SYS-WI-004.*
- 5.5.4 Procurement System Specialist informs the Buyer of the item number created. Buyer shall inform the Business Unit to raise a Purchase Requisition.

5.6 PURCHASE REQUEST TO PURCHASE ORDER

- 5.6.1 Business Unit raises Purchase Requisition in the Procurement System using the item number provided by the Buyer. *Refer to SCD-PSP-PRT-WI-009 - Raising of Purchase Requisition (Spot Buy); SCD-PSP-PRT-WI-010 - Raising of Purchase Requisition (Blanket PO) and SCD-PSP-PRT-WI-012 - Purchase Requisition Approval*
- 5.6.2 Once the PR is approved, the Buyer converts the Purchase Requisition into a Purchase Order or BPO. Upon approval of Purchase Order, vendor shall be notified on the issued PO. *Refer to: SCD-PSP-PRT-WI-013 - Purchase Order Conversion (Spot Buy); SCD-PSP-PRT-WI-014 - Purchase Order Conversion (Blanket PO); SCD-PSP-PRT-WI-015 - Purchase Order Approval SCD-PSP-PRT-WI-016 - Purchase Order Issuance to Suppliers*
- 5.6.3 The logistics cost associated to the item/s must be incorporated to the line item amount.

5.7 CONTRACT

- 5.7.1 Contract Management Team initiates contract drafting up to legal stamping of draft contract.
- 5.7.2 Once Execution Ringi is received by Contract Management Team, contract shall be routed to designated approvers up to contract execution. *Refer to SCD-BPT-CMT-GL-001-Contract Review*
- 5.7.3 Contract Management Team sends the copy of the executed contract to the vendor *Refer to SCD-BPT-CMT-GL-002 – Contract Execution*
- 5.7.4 Contract shall be maintained and monitored by Contract Management Team *Refer to SCD-BPT-CMT-OP-001- Contract Management*
- 5.7.5 All contracts for renewal are subject for Supplier Performance Evaluation.

5.8 LOGISTICS for IMPORTED ITEMS. *Refer to SCD-WRL-LOG-OP-001 - Logistics Management*

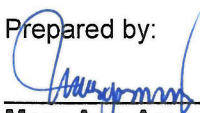
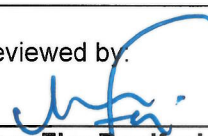
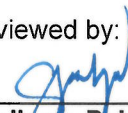
6.0 FORMS

- 6.1 Sourcing Request Form (SRF)
- 6.2 Request for Quotation (RFQ)
- 6.3 Request for Proposal (RFP)
- 6.4 Purchase Request (PR)
- 6.5 Purchase Order (PO)
- 6.6 Letter of Award (LOA)

7.0 REVISION HISTORY

Revision No.	Effective Date	Reason of Revision	Prepared by	Reviewed by	Approved by
00	18-Dec-2019	Initial	R. Francisco	J. Baranda R. Basada F. Mancol Jr	R.B. Aguas Jr.
01	03-Aug-2020	- Change the signatory of Manager, Supply Chain and Administration to Manager, Project Management under Prepared by - Deletion of Manager, Category Management and Director of Supply Chain and Administration under Reviewed by	Goodrich Ambas	R. O. Basada	R.B. Aguas Jr.
02	02-Sept-2020	- Inclusion of reference on the Online Purchase - Change signatory under Prepared by from Manager, Project Management to Asst Manager, Data Systems and Analytics - Inclusion of Exemptions and Applicability Guidelines - Inclusion of additional responsibility of Business Unit, Procurement, SRM, Logistics based on current practice. - Inclusion of BU notification on the status of Sourcing Request.	Miguel Carlo Abalain	R.O.Basada	R.B. Aguas Jr.
03	03-Sept-2020	Deletion of Exemptions and Applicability	Miguel Carlo Abalain	R.O.Basada	R.B.Aguas Jr.
04	22-Sept-2020	Change of reference document number from Work Instruction to Guidelines SCD-PSS-SYS-WI-001, Form to SCD-PSS-SYS-GL-004	Miguel Carlo Abalain	R.O.Basada	R.B.Aguas Jr.

		Terms 3.1, 3.2, 3.3, 3.9 • Modification of Procurement Responsibility on Contract under 4.2.4 • Addition in SRM Responsibility under 4.3.4, 4.3.5, 4.3.6 • Inclusion of Purchasing Classification Matrix under 5.3.4 • Revision on QMS Approval Matrix			
06	28-Apr-2021	• Inclusion of bidtab approval matrix under 5.3.4 • Update in Reference Document Numbers • Change of Document Number from SCD-BPT-SYS-OP to SCD-PSP-PRT-OP	S.P.Palaganas	R. O. Basada	R. Aguas Jr.
07	15-Feb-2023	• Updated the Preparer and Reviewer • Inclusion of Assistant Manager in the final SCD Approver for Bid Tab cost up to 100,000 under Section 5.3.4.1	M. Arao	M. Bonifacio & S. Palaganas	R. Aguas Jr.

Prepared by:  <u>Mary Ann Arao</u> <u>Manager, Supplier Relationship Management & Quality Management System</u>	Reviewed by:  <u>Mary Flor Bonifacio</u> <u>Senior Manager, Supply Chain Business Support</u>	Reviewed by:  <u>Shellame Palaganas</u> <u>Senior Manager, FF&E & Renovation, Procurement and Strategic Planning</u>	Approved by:  <u>Ricardo B. Aguas Jr.</u> <u>VP, Supply Chain Procurement and Strategic Sourcing</u> Date: <u>14-Feb-2023</u>
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